

Skill or Luck? Testing a Short, High-Volatility Track Record

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Disclosure: the manager under review is the author. A personal discretionary account, highly concentrated. Long-only equity through 2024; multi-instrument from 2025. 30 monthly observations, March 2024 – August 2026.

RECOMMENDATION: DECLINE TO ALLOCATE

Cumulative return of **+760%** over 30 months, ending **21.7% below its high-water mark**. Two findings decide it, and neither depends on the other:

- **Capacity.** The largest contributor to the record, **16.2%** of it, traded **\$685,000 a day in 2024**. At a \$25m ticket that one position would have taken **109 trading days** to exit.
- **Alpha.** Jensen’s alpha against MSCI ACWI is **+4.06%/mo** at **t 1.09**, not significant. Proving it would take **87 to 100 months**. Thirty exist.

01 CAPACITY IS THE GATING QUESTION, AND IT DOES NOT CLEAR

POSITION ranked by contribution	SHARE OF RETURN of the +760% total	ADV \$/day, when held	AVG WEIGHT in book	HOLDING at a \$25m ticket	DAYS TO EXIT at 20% of ADV
DeFi Technologies	16.2%	685,000 (2024)	59.9%	\$14.98m	109
Mirae (KOSPI)	3.6%	8,286,565	25.9%	\$6.49m	3.9
Soitec (Euronext)	3.5%	58,974,884	16.9%	\$4.23m	0.4
Babcock & Wilcox (NYSE)	3.3%	47,780,825	12.7%	\$3.18m	0.3
LPKF (Xetra)	3.3%	1,892,390	20.6%	\$5.14m	13.6
Sivers (Nasdaq Stockholm)	2.9%	13,657,118	8.1%	\$2.02m	0.7

- A \$25m ticket is **0.22%** of an **\$11.2bn** asset base and **355×** the capital that produced the 2024 record.

The largest contributor to this record could not have been executed at institutional scale: **109 trading days** to exit at 20% of ADV, 22 even at full volume. Any alpha estimate built on this record is therefore an upper bound.

02 ALPHA

FUND STRATEGY	Top-down analysis → thematic allocation, expressed through individual equities, biased to smaller caps.				
CHOSEN BENCHMARK	MSCI ACWI, all-country and all-cap.				
SPECIFICATION	CORR	ADJ R ²	ALPHA %/MO	T(A) 5% value 2.05	RESID SD
SOXX (semiconductors)	0.73	0.510	+4.50	1.46	16.20
MSCI ACWI + UMD momentum, 28 mo	0.65	0.371	+4.23	1.13	18.14
SPXTR (S&P 500 total return)	0.60	0.343	+4.50	1.24	18.77
MSCI ACWI (benchmark)	0.59	0.329	+4.06	1.09	18.97
IWM (Russell 2000)	0.58	0.314	+6.23	1.73	19.17

- The t on alpha against the benchmark is **1.09**. Not statistically significant.
- Momentum was one of the few multi-factor specifications that increased explained variance.
- A thirty-month fit is not a fit throughout. Split by year, SOXX, the best-fitting specification above, goes from explaining nothing to explaining almost everything:

PERIOD	MONTHS	PORTFOLIO	SOXX	ALPHA %/MO	T(A) vs 5% critical	BETA	CORR	R ²
Mar – Dec 2024	10	+166.3%	–0.2%	+10.84	2.12 / 2.31	0.12	0.04	0.00
Jan – Dec 2025	12	+31.5%	+40.7%	+0.22	0.04 / 2.23	1.09	0.49	0.24
Jan – Aug 2026	8	+145.6%	+72.8%	+1.41	0.29 / 2.45	1.80	0.95	0.89

The benchmark gives the lowest alpha and the weakest t of the five specifications: **+4.06%/mo** at **t 1.09**, against +4.50 at 1.46 for SOXX, the closest sector fit. That gap is mechanical, not a second benchmark choice:

B = CORR × VOL RATIO	BENCH VOL σ_{bench}	VOL RATIO $23.15 \div \sigma_{\text{bench}}$	CORR	BETA	BENCH MEAN excess, %/mo	ABSORBS $\beta \times \text{bench mean}$	LEAVES AS A of the 9.24%	RESID SD unexplained	SE(A)
SOXX (semiconductors)	11.36%	2.04	0.73	1.48	3.20	4.74	4.50	16.20	3.08
MSCI ACWI (the market)	3.16%	7.33	0.59	4.34	1.19	5.19	4.06	18.97	3.71

- **Channel one, the beta.** Portfolio volatility (23.15%/mo) and mean excess return (9.24%) are properties of the book, not of the benchmark. A benchmark a quarter as volatile needs a vol ratio nearly four times larger, and even with a lower correlation the beta still triples, so it **absorbs more of the fixed 9.24%**.
- **Channel two, the residual.** The market also explains less of the variance, so the residual widens and the standard error with it. Together the two channels take t from 1.46 to 1.09: **36% the smaller alpha, 64% the wider error**.
- **Drawdown against the same market.** Under water **15 of 30** months against **9**, and six times deeper: **38.6%** against **6.1%** for ACWI.

What would resolve it is a longer record. $n = (2 \times \text{residual SD} \div \alpha)^2$ gives **87 months**; requiring the observed t to reach 2.00 gives **100**, the more conservative. Both are totals, and thirty months exist, so **another 57 to 70**.
 t 1.09 today, 1.54 at $n = 60$, 2.0 at $n = 100$. **Five to six more years of identical performance against the market the fund already owns.** A 760% return is not “proven edge” but **insufficient sample**.

03 SHARPE

Return per unit of total risk, measured against cash: the one measure that needs no benchmark at all.

NO BENCHMARK REQUIRED	STATISTIC	T	DF	CRITICAL @5%	VERDICT
Sharpe ratio, annualised	1.38	2.19	29	2.045	clears by 6.9%

- **The Sharpe clears, but the distribution is not normal.** Nineteen of 122 positions produced ~97% of the equity book, the three largest months are **42%** of all positive return, and the only two observations beyond two standard deviations are both on the upside.
- Skew **+0.99**. Using Bailey–López de Prado to adjust for the positive skew lifts the Sharpe t to **2.54** from 2.19. **The adjustment flatters this record rather than testing it.**

04 INFORMATION RATIO

BENCHMARK	ACTIVE %/mo	TRACKING ERROR %/mo	IR annualised	T	CRITICAL @5%	VERDICT
MSCI ACWI	+8.05	21.43	1.30	2.06	2.045	clears
SOXX (semiconductors)	+6.04	16.82	1.24	1.97	2.045	fails

- **It clears against the market and fails against the sector,** on t -statistics of **2.06** and **1.97**.
- **And the information ratio assumes a beta near one.** At **beta 4.34** to the market, active return is mostly leverage rather than selection, so an IR of 1.30 flatters this record the same way the skew adjustment flatters the Sharpe.

Every measure that clears is one that ignores how much market exposure produced the return. The Sharpe uses no benchmark at all. The information ratio subtracts the benchmark once. **Jensen’s alpha subtracts it 4.34 times, and that is the one that fails.** The verdict turns on whether you adjust for beta, and an endowment sizing this against a beta budget has to.

05 WHAT THIS SCREEN CANNOT ESTABLISH

Returns-based analysis is one workstream of six. Remaining diligence, in priority order:

- **Holdings-based attribution:** allocation versus selection, which returns-based work cannot separate. Sector Brinson misreads this book: one AI-power thesis spans three sectors
- **Net-of-fee alpha:** gross throughout; net of 2/20 the SOXX alpha falls from 4.50% to **3.72%/mo**
- **Process, operations and key-person risk:** sources of edge; custody and valuation of illiquid marks; single decision-maker
- **Peer percentile:** standalone statistics cannot decide without a peer distribution
- **Independent verification:** returns are self-exported broker statements, neither audited nor GIPS-verified

06 WHAT WOULD CHANGE THE RECOMMENDATION

- **Stock picking that works outside AI and semiconductors.** Within the equity book, **103 of 122 positions contributed 2.8% between them;** nineteen names across semiconductors, AI infrastructure and crypto produced the other 97% of it
- **The same process, and the same results, in more liquid securities.**
- **Performance through a falling market.** The worst peak-to-trough in ACWI across these 30 months is **6.1%**. This process has never been observed in a broad-market drawdown

Method. Monthly time-weighted returns from Interactive Brokers PortfolioAnalyst; risk-free rate 3-month US T-bill. February 2024 is excluded as an inception stub; August 2026 is partial and retained, since dropping it would raise alpha on every benchmark. All regressions, standard errors and significance tests were computed independently; the broker’s reported information ratio and alpha are inconsistent with its own inputs and were not relied upon. Benchmark series are the broker’s own total-return figures from the 21 August 2026 report; no yield is assumed. Average daily volume is the August 2026 monthly average except DeFi Technologies, measured over its 2024 holding period and a **manager estimate** of roughly 500,000 shares daily through 2024, not independently sourced. Prepared as an analytical work sample; not an offer or solicitation.